

Tax Impacts of Different Growth & Development Benefits

Introduction

The reimbursement of Growth & Development benefits may be considered as taxable income in some countries. Subject to changing local legislation, the table below outlines what the tax impact might be on receiving Growth & Development reimbursements from GitLab.

Tax Impact Table

Country	Category	Tax Impact
---------	----------	------------

-----	-----	-----
-------	-------	-------

United States	Academic Study	If GitLab pays over \$5,250 for educational benefits for you during the year, you must generally pay tax on the amount over \$5,250
---------------	----------------	---

	Your 4th Trimester Coaching	TBD
--	-----------------------------	-----

	Professional Coaching	TBD
--	-----------------------	-----

	English Language Courses	If GitLab pays over \$5,250 for educational benefits for you during the year, you must generally pay tax on the amount over \$5,250
--	--------------------------	---

	Professional Development/Certifications/Licenses	If GitLab pays over \$5,250 for educational benefits for you during the year, you must generally pay tax on the amount over \$5,250
--	--	---

	Professional Dues/Membership	TBD
--	------------------------------	-----

	Workshops and Conferences	TBD
--	---------------------------	-----

	Self-Service Learning (LinkedIn Learning, Coursera, Others)	TBD
--	---	-----

South Africa	Academic Study	Generally, any bona fide scholarship or bursary granted to enable or assist any person to study at a recognised educational or research institution is exempt from normal tax. This exemption is, however, subject to certain conditions, particularly where the scholarship or bursary is granted by an employer (or an associated institution in relation to that employer) to an employee or to a relative of such employee.
--------------	----------------	---

	Your 4th Trimester Coaching, Professional Coaching, English Language Courses, Workshops and Conferences, Self-service learning (LinkedIn Learning, Coursera, others)	Expenditure in connection with in-house or on-the-job training or courses presented by training institutions for or on behalf of employers does not represent a taxable benefit in the hands of the employees of the employer if the training is job-related and at the employer's premises. This is in terms of paragraph 10(2)(c), which provides that no value will be placed on the benefit derived by employees on services rendered by the employer to his or her or its employees at their place of work for the better performance of their duties.
--	--	---

	Professional development/ certification/ licenses, Professional dues/ membership	EXEMPT IF CRITERIA ARE MET Employer-paid professional fees, if such membership is a condition of employment
--	--	---

Australia	Academic study, Your 4th Trimester Coaching, Professional coaching, English language courses, Professional development/ certification/ licenses, Professional dues/ membership Workshops and Conferences, Self-service learning (LinkedIn Learning, Coursera, othera)	Broadly speaking if you are reimbursing an employee for any out-of-pocket expenses they have incurred, no taxation would apply. However, if the intent of the business is to give the employee an allowance to cover the costs of the below, then there would be scope for the payment to be taxable. The client's company accountant would be the one to make the determination based on the nature of the payment and once that determination has been reached we can treat it accordingly in the payroll
-----------	---	---

Paypac: In that case this is definitely up to the determination of the company accountant/BAS Agent. As the creation and lodgement of FBT returns are outside of the scope of payroll, we are not able to make this determination on behalf of the client. A resource that they can consult for this is here:

[https://www.ato.gov.au/General/Fringe-benefits-tax-\(FBT\)/Types-of-fringe-benefits/](https://www.ato.gov.au/General/Fringe-benefits-tax-(FBT)/Types-of-fringe-benefits/). In reading through the page and the below, the items appear to closely look like the examples of expense payment fringe benefits but again, that is just my opinion and I would still rely on their accountant to make this decision. However, once that determination is made and if there are reportable FBT amounts that need to be reported for employees on the STP file, we can record these for the client. |

| Germany | Professional Development (Weiterbildung) | According to section 1.2 of this article professional development (Weiterbildung) paid by the employer is tax free. |

| Hungary | Academic study, Your 4th Trimester Coaching, Professional coaching, English language courses, Professional development/ certification/ licenses, Professional dues/ membership Workshops and Conferences, Self-service learning (LinkedIn Learning, Coursera, othera) | In principal training and education costs shall be recorded as expense of the company so ideally these are not staff costs. Only if there are no invoices issued in the name of the Company and we need to reimburse the cost to the employee. In this case this is taxable as regular salary, so e.g. if we reimburse net HUF 100.000 to the employee it means it is run through payroll as cca. gross HUF 150,000 and employer's contribution is 17% on top of this. |

| Mexico | Academic study, Your 4th Trimester Coaching, Professional coaching, English language courses, Professional development/ certification/ licenses, Professional dues/ membership Workshops and Conferences, Self-service learning (LinkedIn Learning, Coursera, othera) | In MX, all these expenses can be non-taxable, as long as the employee provides an invoice addressed to the employer's local legal entity. (the invoice needs to have the employer's tax number "RFC") So if the employee can provide an invoice addressed to Remote's legal entity in Mexico, it can be processed as non-taxable. Please note that it will required to be an invoice and not a receipt since those are not valid for tax purposes. |

| Austria | Academic study, Your 4th Trimester Coaching, Professional coaching, English language courses, Professional development/ certification/ licenses, Professional dues/ membership Workshops and Conferences, Self-service learning (LinkedIn Learning, Coursera, othera) | Costs are deductible for the employer if the training is in regard to the employee's current profession or to a similar work. It is important that the training is based on an entrepreneurial/professional requirement. If the training is based on private cause then this is subject to tax if employer grants reimbursement. The tax may differ dependent on each case - we need the employee's info to give more details. |

| Netherlands | Academic study, Your 4th Trimester Coaching, Professional coaching, English language courses, Professional development/ certification/ licenses, Professional dues/ membership Workshops and Conferences, Self-service learning (LinkedIn Learning, Coursera, othera) | it's allowed and tax free to pay for conferences and college fees for employees in the Netherlands as long as they need this for their job. When we can document that the employee needs this to be able to do their work properly than it's fine to pay for this from the company and its tax free. The employee cannot deduct the costs for these in their income tax return because the company paid for it. |

| United Kingdom | Academic study, Your 4th Trimester Coaching, Professional coaching, English language courses, Professional development/ certification/ licenses, Professional dues/ membership Workshops and Conferences, Self-service learning (LinkedIn Learning, Coursera, othera) | Tax-free with the exception of Trimester coaching which doesn't sound business related. |

| Switzerland | Academic study, Your 4th Trimester Coaching, Professional coaching, English language courses, Professional development/ certification/ licenses, Professional dues/ membership Workshops and Conferences, Self-service learning (LinkedIn Learning, Coursera, othera) | A Swiss worker every year can submit valid expenses to the Swiss administration and might have a rebate on

some amount. Taxation rules are different from one Canton to another. As these questions are related to tax a tax adviser would be better to answer these questions. |

| Italy | Academic Study | Tax-free. Under Art. 51(2)(f) and Art. 100 of the TUIR (D.P.R. 917/1986), education and instruction benefits provided to all employees or homogeneous categories do not constitute taxable income. Since GitLab's G&D Fund is available to all team members for educational purposes, academic study reimbursements qualify for this exemption. |

| | Professional Coaching | Tax-free. Qualifies under two legal bases: (1) Art. 51(1) TUIR as expense in the exclusive interest of the employer when directly job-related; (2) Art. 51(2)(f) + Art. 100 TUIR as education benefit when offered to all employees or homogeneous categories for professional development purposes. |

| | English Language Courses | Tax-free. Language training qualifies as education/instruction under Art. 51(2)(f) + Art. 100 TUIR. |

| | Professional Development/Certifications/Licenses | Tax-free. Qualifies under two legal bases: (1) Art. 51(2)(f) + Art. 100 TUIR as education benefit offered to all employees; (2) Art. 51(1) TUIR as expense in the exclusive interest of the employer when directly job-related (per Agenzia delle Entrate Risposta n. 421/2023 and Risoluzione n. 74/E/2017). |

| | Professional Dues/Membership | Tax-free if job-related. When membership is required or directly useful for the employee's role, it qualifies as an expense in the exclusive interest of the employer under Art. 51(1) TUIR. |

| | Workshops and Conferences | Tax-free. Qualifies under two legal bases: (1) Art. 51(2)(f) + Art. 100 TUIR as education benefit; (2) Art. 51(1) TUIR as expense in the exclusive interest of the employer when attendance is requested/approved by GitLab for job-related skill development (per Agenzia delle Entrate Risposta n. 421/2023). |

| | Self-Service Learning (LinkedIn Learning, Coursera, Others) | Tax-free. Online learning platforms qualify as education/instruction under Art. 51(2)(f) + Art. 100 TUIR when offered to all employees for professional development purposes. |

| | Your 4th Trimester Coaching | Potentially taxable. This benefit may not qualify as "education/instruction" under Art. 100 TUIR as it appears to be personal/family support rather than professional development. Further assessment recommended. |

| Brazil | Academic study, Your 4th Trimester Coaching, Professional coaching, English language courses, Professional development/ certification/ licenses, Professional dues/ membership Workshops and Conferences, Self-service learning (LinkedIn Learning, Coursera, othera) | Any of the items below can not be taxable if it is just sent as expense reimbursement. If the requirement is to advance an amount for reimbursement, it would be required to invoice the amount first, and when the employee requires to but any item, the ICE will make the deposit so the employee can buy and in the moment sends the vouchers to the ICE. |

| Japan | Academic study, Your 4th Trimester Coaching, Professional coaching, English language courses, Professional development/ certification/ licenses, Professional dues/ membership Workshops and Conferences, Self-service learning (LinkedIn Learning, Coursera, othera) | Payment that considering learning / Education, will be Non-Taxable & There will be no impact on Social Insurance & Labor insurance as well. |